couldn't have come at a worse time for the global economy," says Biswajit Dhar, a professor at the Jawaharlal Nehru University in Delhi. "The world is already experiencing a slowdown, and the US economy may start tumbling in the next few months. The impact could be significant."

IMPACT ON INDIA

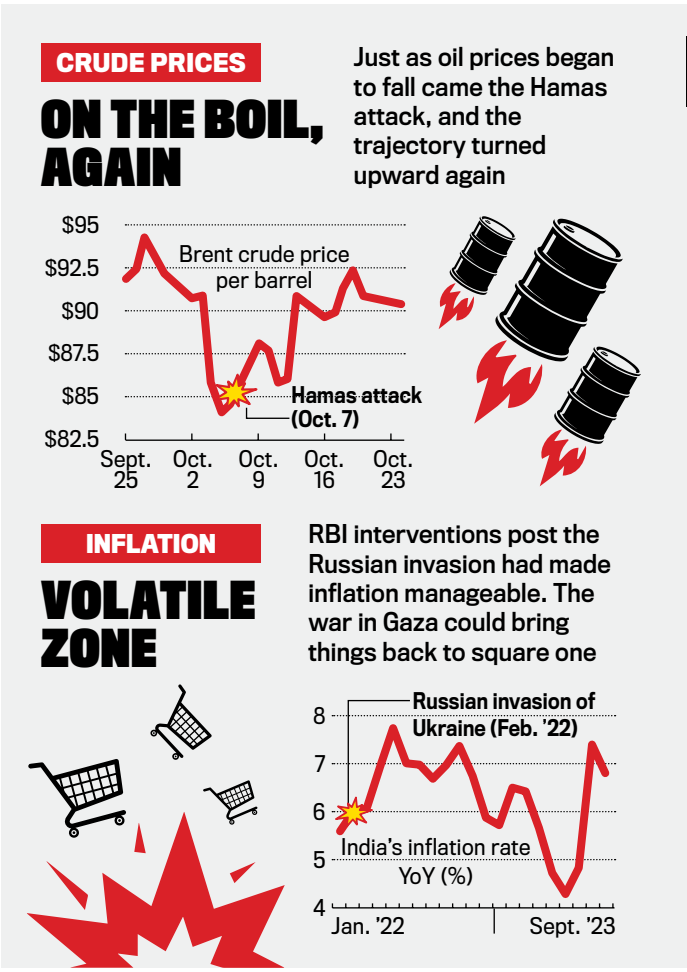
Crude oil prices: The Indian economy and global economy, per Dhar, are linked in multiple ways. "In the short term, the rising oil prices will have an impact...the government may try and insulate [against] it, in view of the impending elections. But, then, it will hurt government spending," he explains. India had handled the situation of high oil prices pretty smoothly following the Russian invasion of Ukraine, by seeking out cheaper Russian crude. In this instance, neither Israel nor Gaza is a significant oil producer, but the war could have repercussions across West Asia, which is home to major oil producers like Iran and Saudi Arabia.

Iran produced 3.7 million barrels a day in 2022, while Saudi Arabia—the third largest supplier of crude oil to India, after Russia and Iraq—produced 12.4 million. Moreover, the Strait of Hormuz, between the Persian Gulf and the Gulf of Oman, is one of the world's most strategically significant "choke points", through which a fourth of the oil for global consumption and a third of the world's liquefied natural gas is transported. Any disruption in movement through the strait will have a direct impact on oil and gas supply and prices.

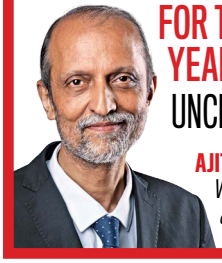
Uncertainty over economic corridor: A big casualty of the war could be the India-Middle East-Europe Economic Corridor (IMEEC). During the G20 summit in New Delhi, India along with the US, the United Arab Emirates, the European Union, France, Italy and Germany signed a memorandum of understanding to establish the IMEEC—connecting India and Europe through the UAE, Saudi Arabia, Jordan, Israel and Greece—on similar lines to China's Belt and Road Initiative. The aim is to develop alternative supply chains, decoupling them from the Chinese production networks.

"The idea of the IMEEC has to be shelved," says Ranade. "It goes through that region itself." The war is even splitting some of the Arab partners. Dhar agrees that delays in projects such as the IMEEC will start hurting everyone. "If the Arab world aligns against Israel," he notes, "then India would also need to have a rethink [about the project]." But the Centre maintains the project won't be affected. "The IMEEC, which is an Indian initiative, is for the long term," says finance minister Nirmala Sitharaman. "While short-term glitches can raise concerns, we will keep engaging with stakeholders and keep our communications open."

Depreciating rupee: The rupee plunged to an all-time low of 83.28 to the dollar on October 16. A research note from the Bank of Baroda (BoB) expects it to be in the range of 83-83.5 to the dollar in the next few weeks, with the possibility of a move towards 84 to the dollar in case oil prices rise to $100



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